

Business Law

Lecture 6

Agency

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Lecture 6

Agency

AGENDA

AGENCY

- WHAT IS AGENCY?
- HOW DOES AGENCY WORK?
- ADVANTAGES AND RISKS
- PRINCIPAL-AGENT PROBLEM

Agency – What is it?

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Entrepreneur P is very successful in selling office furniture. Business is going well and she can't manage all the buyer's incoming calls asking to buy her furniture. She has many other obligations to manage. Therefore she decides to outsource this task.

What can she do?



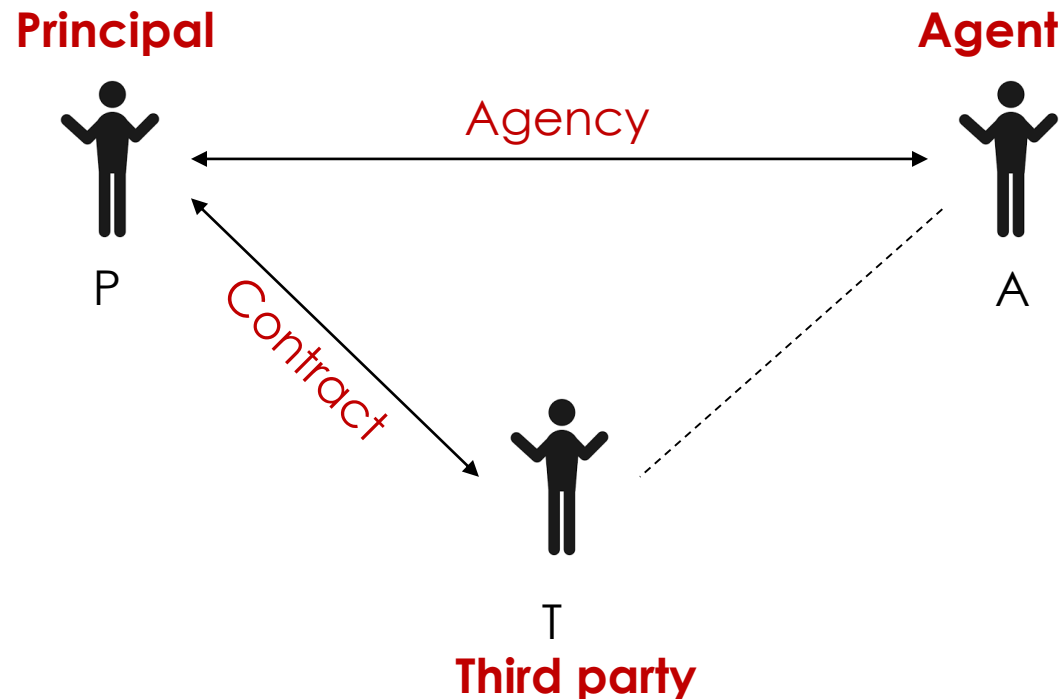
P can use an employee who will answer the buyer's phone calls and act on her behalf to conclude the furniture purchase agreements with the buyers.

Agency – What is it?

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Agency is a legal institute that allows one person (**agent**) to act on behalf of another person (**principal**) and therefore create legal relationships between the principal and a third party.

§§ 164 – 181 BGB



§ 164 I BGB

Effect of a declaration made by the agent

(1) A **declaration of intent** which a person makes within the scope of his own **power of agency in the name of a principal** **takes effect directly in favour of and against the principal**. It is irrelevant whether the declaration is made explicitly in the name of the principal, or whether it may be gathered from the circumstances that it is to be made in his name.

- Three requirements of agency, § 164 I BGB

- Own declaration of intent – „**declaration of intent** which a person makes“

Agent A needs to form and express his own will to a legal transaction and make his own declaration of intent. Not sufficient: A: “P offers to sell 10 office chairs to you, T.”

- Principle of publicity – „**in the name of a principal**“

A has to make it clear to the third party T that he is acting on behalf of P and not on his own behalf.

- Power of representation – „within [...] **power of agency**“

A also needs to be allowed to act on P's behalf. P can grant A power of representation to conclude purchase agreements on her behalf.

Agency – Effects

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P hired A and instructed her to answer the phone whenever potential buyers are calling. She also authorizes A to sell furniture on her behalf.

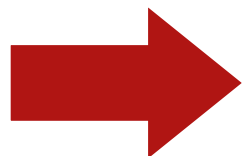
A few hours later buyer T wants to buy P's furniture and calls her business. A answers the phone. She presents herself to T as P's new employee and says that she is authorized to sell furniture for P. T then explains his furniture needs to A. A advises him on the appropriate office furniture. T wants to buy 10 office chairs and 10 tables for 5.000€. A agrees and enters the purchase into P's purchase processing system.

Who is legally bound by this purchase agreement?

What are the relationships between P, A and T?

Who is legally bound by this purchase agreement?

- Although P knows nothing about T's call she is now legally obligated by the purchase agreement to sell and transfer the furniture to T.
- A is P's agent and P is his principal. The three requirements of agency are fulfilled:
 - Own declaration of intent: A agreed with T on the purchase of the furniture.
 - Principle of publicity: A made clear that she is acting on behalf of P as a furniture vendor.
 - Power of representation: Prior to T's call P orally authorized A to act on her behalf.



Effective agency legally binds P and T – not A.

Agency – Effects

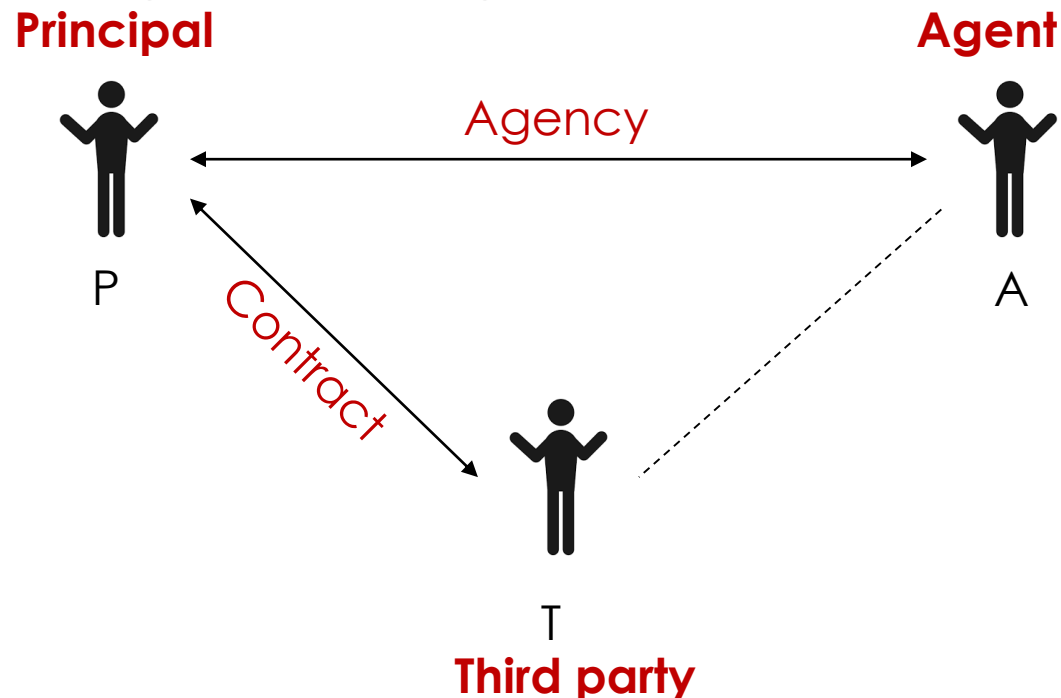
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What are the relationships between P, A and T?

- Relationship between **principal and third party**

The DoI made by the agent has direct effect for and against the principal. The principal is directly - without the person of the representative as a passing stage - entitled and obliged from the legal transaction.

Here: P and T have all the rights and obligations from the furniture purchase agreement.



- Relationship between **principal and agent**

- Agent is authorized to act on behalf of the principal through agency.
- In relationship to the principal (internal relationship), the agent must adhere to the frame the principal set for him.

Here: P explicitly authorized A to sell office furniture.

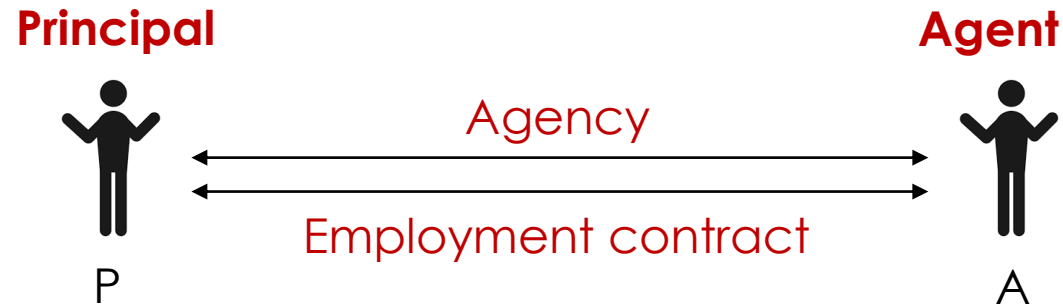
- Two main ways to authorization acc. to § 167 I BGB:
 - External authorization: P explains to T that A is authorized to act on her behalf.
 - Internal authorization: P explains to A only that she is authorized to act on her behalf.

Agency – Effects

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- Regularly, principal and agent are associated by a legal relationship of their own.

Here: P has an employment contract with A.

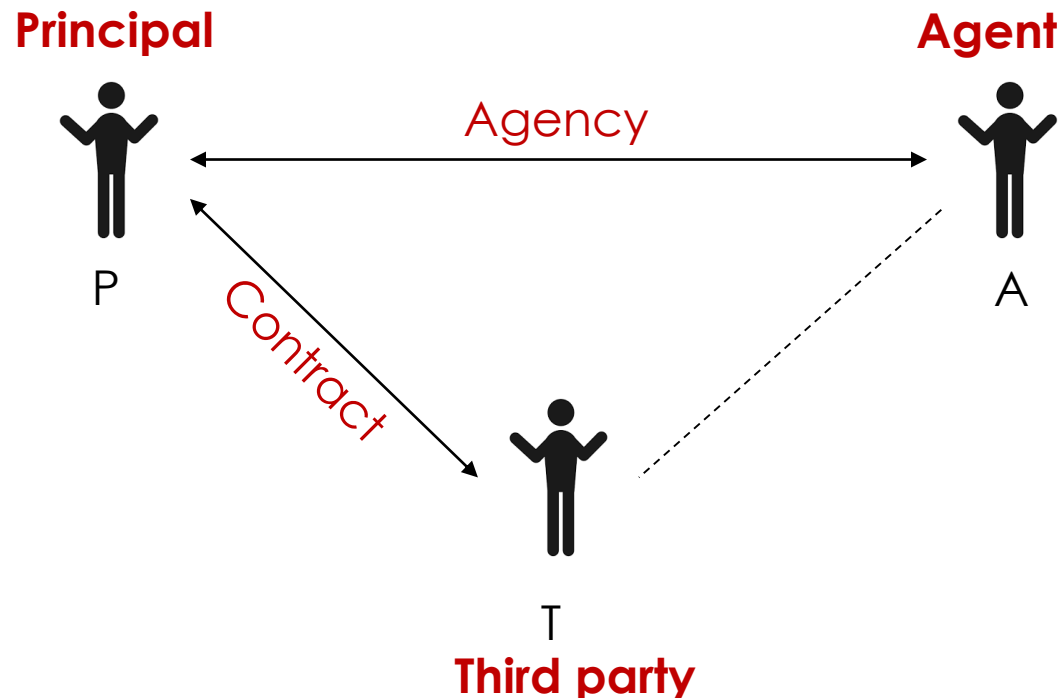


- Agency (external relationship) and the underlying legal relationship (internal relationship) are abstract (protection).
 - External relationship - „can do“
 - Internal relationship - „may do“

- Relationship between **agent and third party**

If the agent acted within the scope of his power of representation and made clear that he acted on behalf of the principal – generally – there is no legal relationship between the agent and the third party.

Here: A is not bound by the furniture purchase agreement.



■ Own declaration of intent

- „**declaration of intent** which a person makes“
 - Agent needs to form his own will to a legal transaction and make his own declaration of intent.
 - No declaration of intent? No agency, no conclusion of contract.
 - It is not sufficient to simply convey P's declaration of intent to T.
 - Simply conveying P's declaration to T (or vice versa)? A is only a messenger.

- **Principle of publicity**

- „in the name of a principal“

- For the third party it must be clear that the agent acts on behalf of another person.
 - § 164 I 2 BGB: It is irrelevant whether the declaration is made explicitly in the name of the principal, or whether it may be gathered from the circumstances that it is to be made in his name.
 - **Here:** A stated clearly that she is authorized to sell furniture in P's name. It would also be sufficient if she made this clear by answering the phone in P's firm name.

- **Principle of publicity** – „in the name of a principal“

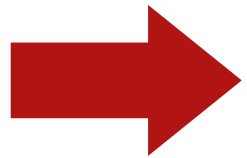
- Purpose: Contract parties need to know each other
- § 164 I 2 BGB opens up other possibilities:
 - Enterprise-related transactions:
 - ▶ No explicit reference to authorization is needed when a person unequivocally acts in relation with a company when involved in a legal transaction.
 - ▶ E.g. Agent is the company's employee or concludes the contract at the company's premises or sells a chair at a furniture store.
- Exception from principle: Transactions for whom it concerns
 - For immediately settled cash transactions in daily life the contract partner is irrelevant
 - Contracting parties don't need to know each other necessarily, e.g. supermarket customer

- If this **principle of publicity** is not met § 164 II BGB is applicable.

§ 164 II BGB

Effect of a declaration made by the agent

(2) If the intent to act on behalf of another is not evident, the lack of intent on the part of the agent to act on his own behalf is not taken into consideration.



Principal is not legally bound by the declaration of intent made by the agent. The agent has now established his own legal relationship with the third party.

■ Power of representation

– „within [...] **power of agency**”

- Power of representation can be obtained by three sources:

By statutory provision	By declaration	By reliance on good faith
e.g. § 35 GmbHG	§ 167 I BGB	§ 242 BGB
A managing director concludes contracts for a GmbH.	The principal grants power of agency by declaration.	Because of negligence of the principal it appears that an „agent“ has power of representation.

If no power of representation flows from one of these sources § 179 I BGB is applicable.

Agency – Effects of missing requirements

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- Power of representation from reliance on good faith:

Agency by estoppel	Ostensible agency
Someone is acting as if he were an agent for a principal without being granted power of representation.	
Principal knows about this and tolerates it	Principal does <u>not</u> know about this due to negligence (could have known with due diligence)
Tacit granting of power of representation by principal?	„Power of representation by negligence“

- In both cases the agent acts with real power of representation

§ 179 I BGB

Liability of an unauthorised agent

(1) A person who has entered into a contract as an agent is, if he does not furnish proof of his power of agency, obliged to the other party at the other party's choice either to perform the contract or to pay damages to him, if the principal refuses to ratify the contract.

Agency – Effects of missing requirements

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P's business continues to grow. P needs help in her warehouse that is closed to the public and only accessible to employees. She hires S and instructs him to only manage the warehouse and fill up stock. A few weeks later Buyer C is calling, but P is not available to answer the call. S is bored and decides to take the call. It turns out that S is a very talented sales man and sells 100 office chairs and 100 tables at a very profitable price to C on behalf of P. As soon as he hangs up, P walks in on him. S explains to her what he did. P couldn't have done better in instructing S regarding his tasks.

What is the legal situation? What can P do?

What is the legal situation? What can P do?

- S didn't have power of representation. P instructed him to manage the warehouse only. § 164 I BGB is not fulfilled.
 - P is not legally bound by the declaration of intent S gave on her behalf.
 - § 179 I BGB grants three possibilities:
 - Choice of P: Ratification of the contract acc. to § 177 I BGB
 - Choice of the buyer C: damages or fulfilment by unauthorized agent
- ➡ P may chose to be legally bound by the profitable contract

Agency - Advantages and risks

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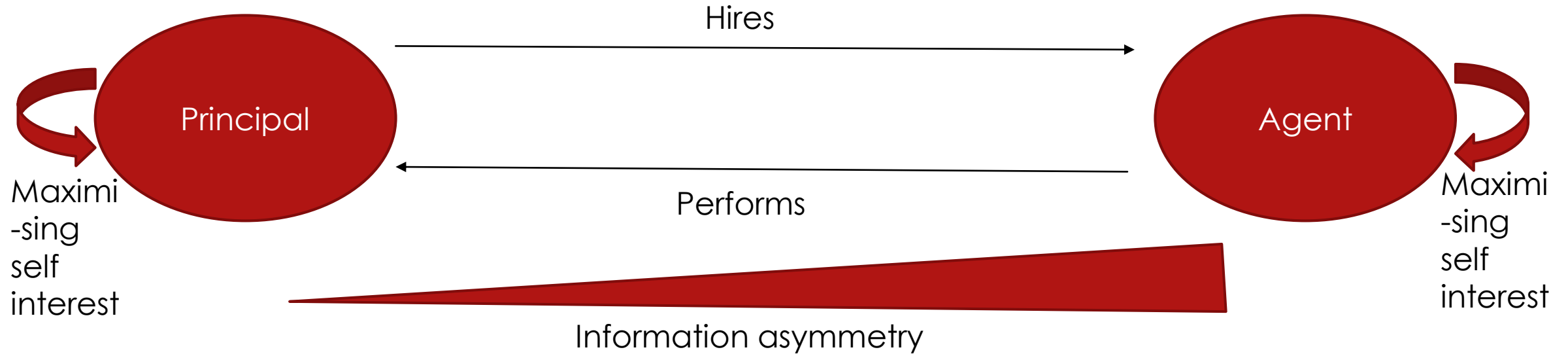
Advantages	Risks
Division of labour	Losing direct control and information
Freeing capacity for other tasks	Possible different interests of principal and agent
Increasing the company's output	Need of trust or other mechanisms
Legal entities need agency	Especially: Principal-agent problem
Using experts with special knowledge	
No emotional involvement	

- Abuse of power of representation
 - Collusion: legal transaction is void by § 138 BGB
 - Agent disregards limits of internal relationship (“may do”) with principal and third party knows this
- Contraction with oneself, § 181 BGB
 - E.g. employee with extensive power of representation grants himself a pay raise
 - Legal transaction is provisionally invalid; only valid if
 - Contraction with oneself is permitted beforehand or ratified afterwards (§ 177 BGB)
 - Contraction to perform an obligation
 - Transaction is legally advantageous only for principal (no conflict of interest)

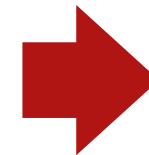
- Governed by § 168 BGB
- § 168 1 BGB: exception from the principle of abstraction
 - Agency ends when underlying legal relationship ends
- § 168 2, 3 BGB: power of representation is freely withdrawable, generally
- Unilateral declaration towards the agent or the third party
 - Internal: declaration of withdrawal to agent
 - External: declaration of withdrawal to third party or agent
 - If declaration of withdrawal is made towards agent, third party who is in good faith is protected by §§ 170, 173 BGB
 - Third party needs to be informed; otherwise power of representation is deemed still effective (exception: third party knew or could have known)

Principal-agent problem

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- Hidden characteristics (adverse selection): A is an imposter who knows nothing about sales.
- Hidden action (moral hazard): A sells at an unprofitable price to a friend of his.
- Hidden information (moral hazard): A is a specialist in his field and P can't assess the quality of his work
- Hidden intention: A is not interested in excelling at his task.



Suboptimal situation
and its optimization
leads to agency costs

How to reduce information asymmetry?

- Solutions = agency costs
 - Signaling or screening to unveil hidden characteristics: Agent can provide certificates that prove his expert knowledge in the needed areas. P could install an assessment center to test a possible agent.
 - Mitigating hidden intentions: offering bonus systems for sales persons
 - Surveillance to mitigate hidden actions: dual control principle = joint representation
 - Quality of action? / Collusion?
 - Limitation of power of representation, esp. via external authorization
 - P could limit A's power of representation by telling regular buyers that she is only authorized to sell furniture not exceeding the price of 10.000€

What are the requirements for effective agency?

What is the main effect of agency and its advantages and risks?

Explain the relationships between principal and agent, principal and third party as well as agent and third party with effective agency.